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Kroger®

## THE KROGER CO.
## CONSOLIDATED BALANCE SHEETS

| (In millions, except par amounts) | January 30, 2021 | February 1, 2020 |
|---|---|---|
| **ASSETS** | | |
| Current assets | | |
| Cash and temporary cash investments | $ 1,687 | $ 399 |
| Store deposits in-transit | 1,096 | 1,179 |
| Receivables | 1,781 | 1,706 |
| FIFO inventory | 8,436 | 8,464 |
| LIFO reserve | (1,373) | (1,380) |
| Prepaid and other current assets | 876 | 522 |
| Total current assets | 12,503 | 10,890 |
| | | |
| Property, plant and equipment, net | 22,386 | 21,871 |
| Operating lease assets | 6,796 | 6,814 |
| Intangibles, net | 997 | 1,066 |
| Goodwill | 3,076 | 3,076 |
| Other assets | 2,904 | 1,539 |
| | | |
| Total Assets | $ 48,662 | $ 45,256 |
| | | |
| **LIABILITIES** | | |
| Current liabilities | | |
| Current portion of long-term debt including obligations under finance leases | $ 911 | $ 1,965 |
| Current portion of operating lease liabilities | 667 | 597 |
| Trade accounts payable | 6,679 | 6,349 |
| Accrued salaries and wages | 1,413 | 1,168 |
| Other current liabilities | 5,696 | 4,164 |
| Total current liabilities | 15,366 | 14,243 |
| | | |
| Long-term debt including obligations under finance leases | 12,502 | 12,111 |
| Noncurrent operating lease liabilities | 6,507 | 6,505 |
| Deferred income taxes | 1,542 | 1,466 |
| Pension and postretirement benefit obligations | 535 | 608 |
| Other long-term liabilities | 2,660 | 1,750 |
| | | |
| Total Liabilities | 39,112 | 36,683 |
| | | |
| Commitments and contingencies see Note 13 | | |
| | | |
| **SHAREHOLDERS' EQUITY** | | |
| | | |
| Preferred shares, $100 par per share, 5 shares authorized and unissued | — | — |
| Common shares, $1 par per share, 2,000 shares authorized; 1,918 shares issued in 2020 and 2019 | 1,918 | 1,918 |
| Additional paid-in capital | 3,461 | 3,337 |
| Accumulated other comprehensive loss | (630) | (640) |
| Accumulated earnings | 23,018 | 20,978 |
| Common shares in treasury, at cost, 1,160 shares in 2020 and 1,130 shares in 2019 | (18,191) | (16,991) |
| | | |
| Total Shareholders' Equity - The Kroger Co. | 9,576 | 8,602 |
| Noncontrolling interests | (26) | (29) |
| | | |
| Total Equity | 9,550 | 8,573 |
| | | |
| Total Liabilities and Equity | $ 48,662 | $ 45,256 |

The accompanying notes are an integral part of the consolidated financial statements.

**THE KROGER CO.**
**CONSOLIDATED STATEMENTS OF OPERATIONS**

Years Ended January 30, 2021, February 1, 2020 and February 2, 2019

| (In millions, except per share amounts) | 2020 (52 weeks) | 2019 (52 weeks) | 2018 (52 weeks) |
|---|---|---|---|
| Sales | $ 132,498 | $ 122,286 | $ 121,852 |
| Operating expenses | | | |
| Merchandise costs | 101,597 | 95,294 | 95,103 |
| Operating, general and administrative | 24,500 | 21,208 | 20,786 |
| Rent | 874 | 884 | 884 |
| Depreciation and amortization | 2,747 | 2,649 | 2,465 |
| Operating profit | 2,780 | 2,251 | 2,614 |
| Other income (expense) | | | |
| Interest expense | (544) | (603) | (620) |
| Non-service component of company-sponsored pension plan costs | 29 | — | (26) |
| Gain on investments | 1,105 | 157 | 228 |
| Gain on sale of businesses | — | 176 | 1,782 |
| Net earnings before income tax expense | 3,370 | 1,981 | 3,978 |
| Income tax expense | 782 | 469 | 900 |
| Net earnings including noncontrolling interests | 2,588 | 1,512 | 3,078 |
| Net income (loss) attributable to noncontrolling interests | 3 | (147) | (32) |
| Net earnings attributable to The Kroger Co. | $ 2,585 | $ 1,659 | $ 3,110 |
| Net earnings attributable to The Kroger Co. per basic common share | $ 3.31 | $ 2.05 | $ 3.80 |
| Average number of common shares used in basic calculation | 773 | 799 | 810 |
| Net earnings attributable to The Kroger Co. per diluted common share | $ 3.27 | $ 2.04 | $ 3.76 |
| Average number of common shares used in diluted calculation | 781 | 805 | 818 |

The accompanying notes are an integral part of the consolidated financial statements.

*Inventories*

Inventories are stated at the lower of cost (principally on a last-in, first-out "LIFO" basis) or market. In total, approximately 92% of inventories in 2020 and 91% of inventories in 2019 were valued using the LIFO method. The remaining inventories, including substantially all fuel inventories, are stated at the lower of cost (on a FIFO basis) or net realizable value. Replacement cost was higher than the carrying amount by $1,373 at January 30, 2021 and $1,380 at February 1, 2020. The Company follows the Link-Chain, Dollar-Value LIFO method for purposes of calculating its LIFO charge or credit. During 2020, the Company had a LIFO liquidation primarily related to pharmacy inventory. The liquidated inventory was carried at lower costs prevailing in prior years as compared with current costs. The effect of this reduction in inventory decreased "Merchandise costs" by approximately $76, $58 net of tax.